

Analytics Accounting – Project Work

Group 3 - Energy Industry

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1. Introduction

The global energy market is going through a major transformation that has been building up over the past decade. This shift isn't the result of one single event: it's driven by a combination of environmental concerns, economic pressures, and new technologies that are pushing countries and companies to completely rethink how we produce and use energy.

Electricity has become much more than just a commodity: it's now the backbone of modern life. We rely on it for almost everything: electric cars, internet connectivity, industrial production, and home lighting. The demand for electricity keeps growing year after year, driven by developing economies and our increasingly digital world. Online services, massive data centres, remote work, electric vehicles, and automated factories all contribute to this rising need for power.

In Europe, the energy transition is being actively shaped by policies like the EU Green Deal and the Fit for 55 programmes. These initiatives are designed to cut greenhouse gas emissions and push renewable energy forward. Because of them, investments in wind, solar, and hydropower have kept growing steadily, even when things got rough with gas prices spiking, inflation rising, and geopolitical tensions causing problems.

Another big change in the sector is how digital and smart technologies are taking over. Modern energy networks aren't just about moving electricity from point A to point B anymore. They're now sophisticated systems packed with sensors, automated controls, and real-time data analysis that help manage energy much more efficiently. This is especially crucial for renewable energy, which depends on the weather and can be unpredictable.

The European energy sector right now is dealing with short-term problems alongside long-term opportunities. In the near term, utilities are feeling pressure from slow industrial activity, uncertain economic conditions, and changing commodity prices. Traditional power generation, particularly in Southern Europe, often struggles with too much capacity and thin profit margins. Industrial electricity demand has been weaker in recent years, mainly because of reduced manufacturing activity and higher production costs. At the same time, wholesale electricity prices have decreased from the very high levels during the energy crisis.

Looking further ahead, renewable energy investments keep expanding, backed by supportive regulations, financial incentives, and better technology. Offshore wind has become one of the most exciting areas in Europe: countries like Spain, the United Kingdom, and Italy are building their offshore capacity, attracting major investments from companies like Iberdrola and Enel.

Despite short-term difficulties, both Enel and Iberdrola continue to expand their renewable energy portfolios, driven by favourable regulations and long-term climate objectives. Investments in digital technologies and advanced electricity networks are becoming increasingly important, helping companies manage renewables more efficiently and reduce

operational risks. Overall, the long-term direction remains positive, and both companies are positioning themselves to benefit from the ongoing transition.

2. Companies Information

Enel S.p.A. and Iberdrola S.A. are two of the most important players in European energy. They are good examples of how large utilities are adapting to rapid changes in the industry. Both companies focus on sustainability, innovation, and renewable energy growth, but they operate in different ways and in different places. Their history, the markets where they work, and their business models explain why they face the same challenges with different approaches.

Managing a large utility means balancing daily operations with long-term transformation. These companies must keep providing reliable service to millions of customers while investing heavily in new technologies, renewable energy, and modern networks. This balance needs careful financial planning and strategic decisions. Both companies operate in several countries, which helps them reduce risks from single markets while opening new growth opportunities. Their different levels of diversification and strategic focus show structural strengths that influence their financial performance over time.

2.1. Enel S.p.A.

Enel is an Italian multinational company that has developed significantly since it was founded in 1962. What started as Italy's national electricity provider has become a global operation working in over 30 countries. Today, Enel serves more than 70 million customers, making it one of the biggest integrated utilities in the world. The company does everything – from traditional power generation to modern services.

Enel is investing heavily in renewable energy through Enel Green Power, which runs projects in solar, wind, geothermal, and hydropower. In recent years, Enel has been digitalizing electricity networks, installing smart meters, automated grid systems, and advanced monitoring tools to improve efficiency. One of its main targets is to completely stop using coal by 2027 and achieve carbon neutrality by 2040. This shows that Enel sees the energy transition as an important way to achieve technological leadership and long-term growth.

Enel's strategy focuses on concentrating its operations in core markets where it can be more competitive. The company has been selling assets in non-strategic markets to reduce debt and focus resources on areas where it has stronger positions. This approach helps Enel maintain financial stability while continuing to invest in renewable energy and grid modernization. The company also places great importance on digitalization, using technology to improve customer service, optimize operations, and manage energy networks more effectively.

2.2. Iberdrola S.A.

Iberdrola is a Spanish company with a long history, but it took its current form over the last twenty years when it started investing heavily in renewable energy. Now it is recognized worldwide as one of the top wind energy producers, working with both onshore and offshore projects. The company operates across Spain, the United Kingdom, the United States, Brazil, and Mexico, giving it a good mix of markets with different rules and economic conditions.

What really makes Iberdrola different is its strong focus on regulated networks, which provide stable and predictable income. This helps the company manage risk and stay financially solid even when markets become difficult. At the same time, Iberdrola keeps expanding its renewable portfolio with large-scale projects that support long-term growth. The company is also seen as a leader in sustainable finance, regularly issuing green bonds and integrating ESG principles into its investment decisions.

Iberdrola's business model relies heavily on regulated activities, particularly electricity distribution and transmission networks. These regulated businesses provide steady cash flows that allow the company to invest confidently in renewable energy projects. The company has been particularly active in offshore wind development, seeing it as a key growth area for the future. Iberdrola also benefits from geographic diversification, which reduces its exposure to any single market's regulatory or economic challenges.

3. Financial Analysis: Enel S.p.A. and Iberdrola S.A. (2023-2024)

The analysis focuses on the financial position, economic performance, and cash flow dynamics of two major European energy groups, Enel S.p.A. and Iberdrola S.A. The data have been extracted from the consolidated financial statements and notes published in the 2024 annual reports of Enel S.p.A. and Iberdrola S.A., comparing fiscal years 2023 and 2024. The year 2024 marked a normalization of energy prices after the volatility of previous years, forcing both companies to adjust strategies while continuing to invest in the energy transition.

3.1. Statement of Financial Position

Enel S.p.A.

Enel's financial position at the end of 2024 reflects a deliberate and disciplined effort to streamline the Group's structure and improve leverage through asset disposals. Total assets decreased to €187,139 million from €195,224 million in 2023, with the contraction primarily concentrated in non-current assets. These fell to €145,852 million as Enel completed several divestments aligned with its strategy of focusing on core geographies and businesses. Property, plant and equipment remained the largest component at €94,584 million, confirming that the Group continues to be infrastructure-intensive despite the portfolio reduction. Current assets

also declined, reaching €40,872 million compared to €44,616 million in 2023, driven by lower inventories and trade receivables following the stabilization of energy prices.

On the liabilities side, Enel's financial structure strengthened considerably. Total equity grew from €45,109 million to €49,171 million, supported by higher profitability and favourable movements in other comprehensive income. Non-current liabilities amounted to €88,155 million, mainly driven by long-term borrowings of around €60 billion, while current liabilities declined to €49,663 million. This reflects a planned reduction in short-term financial exposures and an improvement in the maturity profile of debt. This restructuring of the balance sheet shows Enel's successful execution of its disposal plan to maintain financial flexibility while supporting core investments.

BALANCE SHEET					
<i>Millions of Euro</i>	2024	%	2023	%	Δ%
ASSETS					
Property, plant and equipment	94.584	50.5%	89.801	46.0%	+5.3%
Intangible assets	15.837	8.5%	17.055	8.7%	-7.1%
Goodwill	12.85	6.9%	13.042	6.7%	-1.5%
Other non-current assets	22.581	12.1%	24.791	12.7%	-8.9%
Total Non-Current Assets	145.852	77.9%	144.689	74.1%	+0.8%
Trade receivables	15.941	8.5%	17.773	9.1%	-10.3%
Cash and cash equivalents	8.051	4.3%	6.801	3.5%	+18.4%
Other current assets	16.88	9.0%	20.042	10.3%	-15.8%
Total Current Assets	40.872	21.8%	44.616	22.9%	-8.4%
Assets held for sale	415	0.2%	5.919	3.0%	-93.0%
TOTAL ASSETS	187.139	100.0%	195.224	100.0%	-4.1%
LIABILITIES & EQUITY					
Total Equity	49.171	26.3%	45.109	23.1%	+9.0%
Long-term borrowings	60	32.1%	61.085	31.3%	-1.8%
Provisions and other non-current liabilities	28.155	15.0%	29.915	15.3%	-5.9%
Total Non-Current Liabilities	88.155	47.1%	91	46.6%	-3.1%
Short-term borrowings	3.645	1.9%	4.769	2.4%	-23.6%
Current portion of long-term borrowings	7.439	4.0%	9.086	4.7%	-18.1%
Trade payables	13.693	7.3%	15.821	8.1%	-13.5%
Other current liabilities	24.886	13.3%	27.123	13.9%	-8.2%
Total Current Liabilities	49.663	26.5%	56.799	29.1%	-12.6%
Liabilities held for sale	150	0.1%	2.316	1.2%	-93.5%
TOTAL LIABILITIES & EQUITY	187.139	100.0%	195.224	100.0%	-4.1%

Iberdrola S.A.

In contrast to Enel's consolidation, Iberdrola's balance sheet for 2024 demonstrates continued expansion. Total assets increased to €158,293 million from €150,033 million in 2023. This growth was driven by non-current assets, which rose to €137,458 million, with property, plant, and equipment accounting for €94,461 million, reflecting the company's intense investment in renewable capacity and network infrastructure. However, current assets decreased to €20,835 million from €23,063 million, mainly due to lower assets held for sale and adjustments in working capital.

Iberdrola's equity position remains solid, rising to €61,051 million from €60,292 million, bolstered by stable earnings and regulated returns. Non-current liabilities increased to €67,103

million, with long-term financial debt rising from €36,319 million to €40,585 million. This signals Iberdrola's use of long-dated, low-risk financing to fuel its expansion strategy. Current liabilities also increased to €30,139 million, partly reflecting the higher short-term financing needs of an expanding asset base. Unlike Enel's focus on debt reduction through disposals, Iberdrola's financial position suggests a strategy of accumulating assets and financing growth through long-term borrowing, maintaining a stable capital structure to support its extensive renewable energy pipeline.

BALANCE SHEET					
Millions of Euro	2024	%	2023	%	Δ%
ASSETS					
Property, plant and equipment	94.461	59,70%	87.821	58,50%	7,60%
Intangible assets	20.255	12,80%	20.255	13,50%	0,00%
Other non-current financial assets	7.499	4,70%	7.208	4,80%	4,00%
Total Non-Current Assets	137.458	86,80%	126.970	84,60%	8,30%
Current trade and other receivables	9.162	5,80%	8.906	5,90%	2,90%
Cash and cash equivalents	4.082	2,60%	3.019	2,00%	35,20%
Inventories	2.987	1,90%	2.550	1,70%	17,10%
Assets held for sale	404	0,30%	4.720	3,10%	-91,40%
Total Current Assets	20.835	13,20%	23.063	15,40%	-9,70%
TOTAL ASSETS	158.293	100%	150.033	100%	5,50%
LIABILITIES & EQUITY					
Total Equity	61.051	38,60%	60.292	40,20%	1,30%
Non-current financial liabilities (Long-term)	46.094	29,10%	41.775	27,80%	10,30%
Deferred tax liabilities	7.545	4,80%	7.379	4,90%	2,20%
Total Non-Current Liabilities	67.103	42,40%	61.669	41,10%	8,80%
Current financial liabilities (Short-term)	25.528	16,10%	23.120	15,40%	10,40%
Trade payables	6.183	3,90%	5.112	3,40%	20,90%
Total Current Liabilities	30.139	19,00%	28.072	18,70%	7,40%
TOTAL LIABILITIES & EQUITY	158.293	100%	150.033	100%	5,50%

3.2. Income Statement Analysis

Enel S.p.A.

Enel's 2024 income statement shows significant improvements in profitability despite a decline in revenue. Revenues fell by 17.4% from €95,565 million in 2023 to €78,947 million in 2024. This decline was largely due to the normalization of energy prices and lower volumes of thermal generation and gas sales. However, the company achieved a significant improvement in operational efficiency, with costs falling by 23.5% to €55,358 million, thanks to lower procurement costs, reduced commodity price pressure, and efficiency measures implemented across the value chain.

Consequently, Gross Operating Profit (EBITDA) rose by 18.8% to €24,066 million, helped by grid performance, higher contribution from renewables and a partial normalization of commodity effects that had negatively affected the prior period. Depreciation and amortization rose in line with the commissioning of new assets but remained proportionate to expanded capacity. The Operating Profit (EBIT) surged by 43% to €15,494 million due to reduced impairments and efficient asset rotation. The Net Profit attributable to shareholders more than

doubled, reaching €7,016 million compared to €3,438 million in the previous year. This sharp increase reflects not only higher operational efficiency but also the impact of capital gains from disposals, which materially boosted the bottom line. Enel's 2024 performance therefore shows a blend of organic operational improvement and extraordinary gains linked to its strategic repositioning.

INCOME STATEMENT					
<i>Millions of Euro</i>	2024	%	2023	%	Δ%
Revenue	78.947	100.0%	95.565	100.0%	-17.4%
Costs	-55.358	-70.1%	-72.344	-75.7%	-23.5%
Net results from commodity contracts	477	0.6%	-2.966	-3.1%	-1,16%
Gross Operating Profit (EBITDA)	24.066	30.5%	20.255	21.2%	+18.8%
Depreciation, amortization & impairment	-8.572	-10.9%	-9.423	-9.9%	-9.0%
Operating Profit (EBIT)	15.494	19.6%	10.832	11.3%	+43.0%
Net financial income/(expense)	-3.401	-4.3%	-3.375	-3.5%	+0.8%
Share of profit/(loss) of equity investments	-210	-0.3%	-41	0.0%	+412.2%
Pre-tax Profit	11.883	15.1%	7.416	7.8%	+60.2%
Income taxes	-3.654	-4.6%	-2.778	-2.9%	+31.5%
Net profit/(loss) for the year	8.229	10.4%	4.267	4.5%	+92.9%

Iberdrola S.A.

Iberdrola delivered a solid economic performance characterized by operational growth. Revenue for 2024 stood at €44,739 million, a decrease from €49,335 million in 2023, reflecting the broader market trend of lower energy prices. Despite the revenue dip, the company improved its margins through efficient cost management. Personnel expenses remained relatively stable at €3,941 million, while external services costs were €4,159 million.

Iberdrola's Gross Operating Profit (EBITDA) increased to €16,848 million from €14,417 million in the previous year, demonstrating the high profitability of its renewable and network assets. Operating Profit (EBIT) grew to €9,729 million from €8,973 million, supported by the strong performance of regulated assets and renewable production under long-term contracts. This operational success translated into a Net Profit attributable to the parent company of €5,612 million, an increase from €4,803 million in 2023. In Iberdrola's case, profitability is less influenced by exceptional or non-recurring items than Enel's; instead, it reflects the stability of regulated returns and the expansion of renewable assets whose revenues are guaranteed or price protected. This makes Iberdrola's economic performance more predictable and structurally driven.

INCOME STATEMENT					
Millions of Euro	2024	%	2023	%	Δ%
Revenue	44.739	100%	49.335	100%	-9,30%
Supplies	-20.863	-46,60%	-26.033	-52,80%	-19,90%
Personnel expenses	-3.941	-8,80%	-3.824	-7,80%	3,10%
Net operating expenses	-4.462	-10,00%	-6.136	-12,40%	-27,30%
Taxes	-2.566	-5,70%	-2.749	-5,60%	-6,70%
Gross Operating Profit (EBITDA)	16.848	37,70%	14.417	29,20%	16,90%
Depreciation, amortisation & provisions	-6.648	-14,90%	-4.826	-9,80%	37,80%
Operating Profit (EBIT)	9.729	21,70%	8.973	18,20%	8,40%
Net financial income/(expense)	-1.575	-3,50%	-2.187	-4,40%	-28,00%
Result of equity-accounted investees	-37	-0,10%	239	0,50%	-115,50%
Pre-tax Profit	8.117	18,10%	7.025	14,20%	15,50%
Income taxes	-2.150	-4,80%	-1.610	-3,30%	33,50%
Net profit/(loss) for the year	5.612	12,50%	4.803	9,70%	16,80%

3.3. Cash Flow Statement Analysis

Enel S.p.A.

Enel's 2024 cash flow performance highlights the effectiveness of its capital recycling strategy. Cash flow from operating activities amounted to €13,223 million, slightly lower than the €14,620 million recorded in 2023 due to working capital fluctuations. Nevertheless, operating cash flows remained robust and comfortably supported the Group's investment program.

Cash flow from investing activities resulted in a net outflow of €4,108 million, a dramatic improvement compared to the €10,610 million outflow in 2023. The reduction is explained by significant disposal proceeds (€5,622 million), which partially offset capital expenditure of €10,821 million focused on renewables and distribution networks. Financing activities showed an outflow of €7,989 million, driven mainly by dividend payments (€5,126 million) and debt repayments. The company effectively funds its investments and rewards shareholders while reducing debt, supported by strong operating cash flows and proceeds from asset sales.

CASH FLOW			
Millions of Euro	2024	2023	Δ%
Profit for the year	8.229	4.267	+92.9%
Adjustments (Depreciation. etc.)	8.906	13.311	-33.1%
Change in net working capital	-1.108	-604	+83.4%
Cash flow from operating activities	13.223	14.62	-9.6%
Investments in property, plant and equipment	-8.931	-11.383	-21.5%
Investments in intangible assets	-1.235	-1.385	-10.8%
Disposals of entities/business units	5.622	2.083	+169.9%
Cash flow used in investing activities	-4.108	-10.61	-61.3%
Dividends paid	-5.126	-5.135	-0.2%
Change in financial debt	-2.863	-3.226	-11.3%
Cash flow used in financing activities	-7.989	-8.361	-4.4%
Impact of exchange rate fluctuations	-74	-49	+51.0%
Net Increase/(Decrease) in cash	1.052	-4.400	-124%

Iberdrola S.A.

Iberdrola's cash flow structure reflects its ongoing investment cycle. Net cash flows from operating activities amounted to €11,925 million, slightly down from €12,130 million in 2023, yet still ample to support its capex requirements. Investing activities generated a net outflow of €8,397 million, driven by €7,665 million in acquisitions of property, plant and equipment as Iberdrola continued expanding its renewable and network assets.

Financing activities resulted in a net outflow of €2,267 million, significantly lower than the €4,088 million outflow in 2023. This included the payment of dividends and transactions with non-controlling interests. Iberdrola raised significant funds through new borrowings to finance its investment plan, with issues and disposals of bank borrowings and bonds amounting to €17,541 million, balanced by redemptions of €12,418 million. Iberdrola's cash flow statement portrays a company in growth mode, utilizing its strong operating cash flow and access to credit markets to sustain high levels of capital expenditure.

CASH FLOW			
Millions of Euro	2024	2023	Δ%
Profit before tax	8.117	7.025	15,50%
Adjustments (Depreciation, etc.)	7.412	5.810	27,60%
Changes in working capital			
Change in trade and other receivables	-1.760	314	-6,60%
Change in trade payables and other liabilities	1.262	-517	-3,44%
Net Cash flow from operating activities	11.925	12.130	-1,70%
Investments in intangible assets	-710	-541	31,20%
Investments in property, plant and equipment	-7.665	-7.336	4,50%
Proceeds from disposal of subsidiaries	5.680	206	2657%
Net Cash flow used in investing activities	-8.397	-9.693	-13,40%
Dividends paid (total incl. minorities)	-1.625	-1.879	-13,50%
Bank borrowings (Issues and disposals)	17.541	10.662	64,50%
Bank borrowings (Redemption)	-12.418	-8.197	51,50%
Net Cash flow used in financing activities	-2.267	-4.088	-44,50%
Impact of exchange rate fluctuations	-198	62	-419,40%
Net Increase/(Decrease) in cash	1.063	-1.589	-1,66%

Conclusion of the Financial Analysis

In 2024, Enel and Iberdrola achieved strong financial results in a stabilizing energy market, but they followed very different strategic paths. Enel focused on portfolio rationalization and balance-sheet strengthening, using asset sales and efficiency improvements to reduce debt and more than double net profit, creating a leaner and more resilient financial structure. Iberdrola continued investing heavily in renewables and regulated networks, funding growth mainly through long-term borrowings while maintaining stable, predictable returns.

Despite their contrasting strategies, both companies generated robust operating cash flows that enabled them to sustain investments and deliver value to stakeholders. For investors focused on short-term deleveraging and capital discipline, Enel may appear more attractive; for those seeking long-term growth in regulated and renewable infrastructure, Iberdrola offers a compelling proposition. The strategies and performance of the two companies highlight how they play significant and complementary roles in shaping the European energy landscape.

4. Profitability Ratio

Both Enel and Iberdrola exhibit shifts in profitability that reflect operational performance and the strategic repositioning highlighted in their annual reports. Enel's ROE declined from 20.98% to 17.23%, and its ROI decreased from 7.20% to 5.70%. This contraction is consistent with Enel's divestment-led deleveraging strategy, which reduced total assets and rebalanced the portfolio across core geographies. The company completed major disposals, including its Peruvian operations and minority stakes in Spanish renewable subsidiaries, as part of a program aimed at strengthening the capital structure and focusing on regulated assets. These actions increased financial stability but temporarily reduced operational returns, explaining the drop in ROI and ROE.

Iberdrola, in contrast, delivered a clear improvement in profitability. ROE increased from 8.40% to 9.26%, while ROI rose from 5.70% to 6.63%. The uplift was driven by a strong 17% increase in EBITDA, supported by significant asset rotation gains—particularly the sale of Mexican power plants and the Kitty Hawk offshore wind development—as well as improved renewable production and lower procurement costs in Spain and the UK. These factors reinforced both profitability margins and returns on invested capital.

Indicator	ENEL 2024	ENEL 2023	IBERDROLA 2024	IBERDROLA 2023
ROE	17,23%	20,98%	9,26%	8,40%
ROI	5,70%	7,20%	6,63%	5,70%
D/E	1,53	1,59	1,09	1,23
Turnover	0,48	0,47	1,05	0,82

5. Liquidity Ratio

Enel's liquidity position strengthened moderately in 2024. The current ratio improved from 0.79 to 0.82, and the quick ratio rose from 0.70 to 0.74. This improvement reflects a 16.2% increase in liquidity, driven by higher cash equivalents and financial assets such as securities and short-term receivables (ENEL 2024, p. 519). Enel also reduced its short-term debt significantly, improving its short-term financial flexibility. The company maintained a diversified funding structure and extensive undrawn committed credit lines, mitigating refinancing risks.

Iberdrola experienced a decline in its liquidity ratios: the current ratio fell from 0.82 to 0.69, and the quick ratio from 0.72 to 0.58. This decrease is linked to working capital changes following the sale of Mexican assets and increased inventory related to ongoing grid and

renewable investments. Despite these movements, Iberdrola’s absolute liquidity remained very strong at €19.3 billion—enough to cover up to 22 months of financing needs—supported by high-quality funding sources, including multilateral development banks and syndicated facilities.

Indicator	ENEL 2024	ENEL 2023	IBERDROLA 2024	IBERDROLA 2023
Current Ratio	0,82	0,79	0,69	0,82
Quick ratio	0,74	0,70	0,58	0,72

6. Solvency Ratio

Enel’s solvency profile improved in 2024. The debt-to-equity ratio fell from 1.59 to 1.53, and the debt ratio decreased from 80% to 78%, consistent with a €4.3 billion reduction in net financial debt driven by asset disposals and strong operating cash flows. Although the interest coverage ratio declined from 3.13x to 2.43x due to higher financial expenses relative to EBIT, rating agencies improved Enel’s outlook to “stable,” citing strengthened balance-sheet resilience.

Iberdrola’s solvency metrics showed a mixed but strategically aligned trend. The D/E ratio declined from 1.23 to 1.09 due to retained earnings and equity growth, even as the debt ratio rose from 60% to 62%, reflecting a €3.84 billion increase in adjusted net financial debt. This increase financed Iberdrola’s large investment program in networks and offshore wind. However, stronger EBITDA performance enhanced interest coverage, improving it from 3.24x to 3.96x.

Indicator	ENEL 2024	ENEL 2023	IBERDROLA 2024	IBERDROLA 2023
Debt Ratio	78%	80%	62%	60%
Equity Ratio	0,22	0,20	0,37	0,39
Altman Z score	0,91	0,92	1,08	1,12
Interest Coverage	2,43	3,13	3,96	3,24

7. DuPont Analysis

7.1. Enel S.p.A.

Enel's DuPont breakdown shows a shift driven primarily by profit margin expansion and reduced financial leverage. Profit margin increased sharply from 4.15% to 9%, supported by portfolio rotation gains and efficiency measures. Asset turnover decreased from 0.4680 to 0.4021, reflecting lower revenues relative to a capital-intensive asset base. Financial leverage declined from 7.75x to 7.04x, consistent with the company's debt-reduction strategy. While higher margins provided support, the combined effect of lower turnover and lower leverage explains the decline in ROE.

	Profit Margin Efficiency	Dupont Analysis Enel Operating leverage Effectiveness	Financial leverage Leverage
ROE=	Net income/Tot sales	Tot sales/ Av. Tot assets	Av. tot assets/ Av. shareholders equity
ROE for 2024 = 17,23%	9,00%	0,4021	7,0380
ROE for 2023= 20,989	4,15%	0,4680	7,7468

7.2. Iberdrola S.A.

Iberdrola's DuPont profile exhibits profitability driven by operational excellence rather than leverage. Profit margin increased from 9.77% to 12.66%, powered by strong renewable output growth (+31%), asset rotation gains, and improvements in Spain and the UK. Asset turnover increased from 0.0309 to 0.0341 due to accelerated commissioning of renewable assets and efficiency in grid operations. Financial leverage increased moderately from 3.59x to 3.97x, reflecting debt raised to fund large-scale investments. The resulting ROE increase is therefore tied to industrial performance, not financial gearing.

	Profit Margin Efficiency	Dupont Analysis Iberdrola Operating leverage Effectiveness	Financial leverage Leverage
ROE=	Net income/Tot sales	Tot sales/ Av. Tot assets	Av. tot assets/ Av. shareholders equity
ROE for 2024 = 17,23%	12,66%	0,0341	3,9707
ROE for 2023= 20,989	9,77%	0,0309	3,5994

8. Conclusion

The comparison between Enel and Iberdrola shows how both utilities have developed strategies, governance models, and investment plans that help them navigate a rapidly evolving energy landscape. These elements illustrate how each company is preparing to operate efficiently within cleaner, more resilient, and increasingly digitalized energy systems.

ESG considerations play a central role for both utilities, shaping their long-term vision and guiding operational choices. Sustainability isn't treated as a separate objective but as a core part of how these companies do business, influencing investment decisions and daily operations.

Enel shows strong environmental commitments through its coal phase-out target by 2027 and carbon neutrality goal by 2040. The company has expanded renewable capacity significantly through Enel Green Power, running solar, wind, geothermal, and hydropower projects across multiple continents. Beyond environmental goals, Enel promotes social initiatives like employee development and community engagement, recognizing that the energy transition must benefit workers and communities affected by moving away from fossil fuels. The company provides training programs helping employees adapt to new technologies and business needs.

Iberdrola stands out as a leader in sustainable energy, investing heavily in offshore wind and low-carbon technologies while emphasizing safety, diversity, and local development. The company has become a pioneer in offshore wind energy, particularly in the UK and Spain, developing large-scale projects that help these countries reach renewable energy targets. Iberdrola's commitment extends to sustainable finance, regularly issuing green bonds that show strong investor confidence in its environmental approach. Both companies maintain transparent governance with sustainability-linked financial frameworks and regular ESG reporting following international standards, ensuring accountability to stakeholders.

Their strategic focus aligns closely with the global energy transition. Enel uses its international presence to scale renewable generation and expand digital services, while focusing on core markets where it has competitive advantages. Iberdrola centers its strategy on offshore wind and regulated networks, which offer stable returns and reduce market volatility. Both companies show commitment to innovation, renewable energy, and infrastructure modernization.

Risk management is another pillar of their resilience. Enel reduces uncertainty through geographic diversification and digital tools that improve operational monitoring. Iberdrola relies on regulated networks to secure predictable revenues, supporting large-scale renewable projects with financial confidence. Both follow strict governance and sustainability frameworks aligned with European regulatory requirements.

Financial performance reinforces their strategic strength. Both maintain strong operating cash flows supporting continuous investment in renewable assets and network upgrades. Enel

benefits from a diversified business mix, while Iberdrola relies on stable income from regulated networks and renewable growth. Both manage debt carefully and use green and sustainability-linked financial instruments. Their policies reflect long-term commitment to financial stability and advancing the transition toward cleaner, safer, and more modern energy systems.